NISM SERIES VII

Learn the Market, Not the Handbook

A plain-English reading guide for Securities Operations and Risk Management

100	120 min	50%	-0.25
MCQs	exam time	pass mark	wrong answer

> ***The core story:*** *Investor gives instruction -> broker checks -> exchange matches -> clearing corporation calculates and protects -> money and securities settle -> records and remedies protect the investor.*

Companion to the official July 2026 NISM workbook. For rules that can change, always treat the current official workbook as the authority.

Prepared as a study companion - November 2026

First, know the game

You are not trying to memorise a 274-page rulebook. You are learning one controlled journey:

```
Client -> broker -> exchange -> clearing corporation -> funds and securities settlement -> records/remedy.
```

Nearly every question sits somewhere on that journey. If you identify (1) the actor, (2) the asset or record, (3) the risk being controlled and (4) what happens next, the correct option becomes much easier to find.

Current exam frame

Item	What to remember
Questions	100 multiple-choice questions, 1 mark each
Time	120 minutes
Pass mark	50%
Wrong answer	-0.25 mark
Best focus	Broking operations, risk, clearing and settlement

How to use this guide

1. Read a lesson without trying to make notes.
2. Close the guide and answer its recall prompts out loud.
3. Draw the diagram/table from memory.
4. Attempt the practice questions only after you have recalled the idea.
5. Put every incorrect or guessed question in a four-column error log: **concept**, **contrast**, **current rule**, or **reading mistake**.

> ***The running story:*** *Riya opens a broking account, buys shares, and later faces a settlement problem. Do not learn definitions in isolation - attach each one to Riya's trade.*

Weightage tells you where to spend your energy

Workbook unit	Weight	Practical study priority
1. Securities market	5%	Learn the map and key contrasts
2. Participants and regulation	10%	Learn roles and regulator map
3. Broking operations	20%	Learn the full trade-life cycle
4. Risk management	15%	Learn purpose of each margin/control
5. Clearing	15%	Learn roles, novation and netting
6. Settlement	15%	Learn pay-in/pay-out, shortage and auction
7. Grievances and arbitration	10%	Learn the escalation ladder/timelines
8. Other broker services	10%	Learn ASBA, PMS, MTF, DP and IBT contrasts

Lesson 1 - Why markets exist and what trades there

1. The simple purpose of a financial market

Some people have surplus money; businesses and governments need funds. Financial markets move savings to productive use, help discover prices, create liquidity and give an investor an exit route.

Liquidity is not merely high volume. It is the ability to convert an investment to cash reasonably quickly at a price that is not absurdly different from a fair market price.

2. Two streets: primary and secondary

Market	What happens	Who receives money?	Memory hook
Primary market	A new security is issued - IPO, FPO, rights, private placement	The issuer	Primary = proceeds to producer
Secondary market	Existing investors buy/sell an already issued security	The selling investor	Secondary = second owner

An active secondary market encourages primary-market investment because investors can later exit. An issuer is a party to a primary issue, not to ordinary secondary-market trading between investors.

Do not confuse these issue types

- **IPO:** first public issue by an issuer.
- **FPO:** later public issue by an already listed issuer.
- **Rights issue:** fresh shares offered to existing holders at a stated price.
- **Bonus issue:** additional shares to existing holders without them paying for the new shares.
- **Stock split:** more units, lower per-share face/quoted value; no automatic wealth creation.
- **Private placement:** offering to a selected group, not the public at large.

> ***Exam trap:*** *Rights and bonus both concern existing holders. Rights need payment; a bonus issue does not.*

3. Exchange and OTC

On an **exchange**, orders meet in a rules-based electronic system. Buyers and sellers normally remain anonymous to one another; the clearing corporation supports clearing and settlement. In an **over-the-counter (OTC)** market, parties negotiate directly and settle bilaterally.

Feature	Exchange market	OTC market
Price discovery	Central order book	Bilateral negotiation
Counterparties	Generally anonymous	Known to each other
Standardisation	High	May be customised
Settlement	Market infrastructure process	Bilateral agreement

OTC is not synonymous with illegal **dabba trading**. Dabba trading is an unauthorised, betting-like off-market activity using market quotes, without normal delivery, settlement guarantee or grievance protection.

4. Money market versus securities market

The **money market** mainly handles short-term funding, typically one day to one year. Think of it as the economy's short-term cash desk. The securities/capital market includes ownership, debt, pooled products and derivatives.

High-yield money-market facts:

Instrument	Core idea
Call money	Unsecured interbank lending/borrowing, predominantly overnight
Notice money	Unsecured lending/borrowing for more than overnight up to 14 days
Term money	Unsecured lending/borrowing from 15 days to one year
Repo	Borrower sells securities now and agrees to repurchase later; two legs
Reverse repo	Collateralised lending: reverse side of the repo
T-bill	Zero-coupon government instrument, issued at discount/redeemed at par; 91, 182 or 364 days
Cash Management Bill	Very short-term Treasury bill, under 91 days
Commercial Paper	Unsecured short-term corporate funding instrument
Certificate of Deposit	Negotiable, unsecured money-market instrument issued by eligible institutions

> ***Memory hook:*** *Repo = sell now, repurchase later. The party lending cash is doing the reverse repo side.*

5. The product shelf

Equity and debt

An **equity share** is fractional ownership. Returns are variable; equity has no fixed maturity and ranks after debt on liquidation. A **bond/debenture** is lending: it has a maturity and stated repayment/interest terms.

Funds and ETFs

A mutual fund pools money under a scheme. An **ETF** is a fund whose units track a basket/index and trade intraday on an exchange like a stock.

Derivatives

Derivatives derive value from an underlying share, index, currency, interest rate or commodity. Uses include hedging, trading/speculation and arbitrage.

Contract	Meaning	Obligation?
Futures	Standardised exchange contract to buy/sell later	Both sides are obligated
Forward	Customised OTC contract to buy/sell later	Both sides are obligated
Option	Buyer gets a right; writer accepts a contingent obligation	Buyer has right, writer has obligation
Swap	Agreement to exchange cash-flow patterns	Depends on contract

Call option buyer = right to buy. Put option buyer = right to sell. This deserves instant recall.

Key current-product traps from the workbook:

- Exchange-traded index futures/options are cash settled.

- Single-stock futures/options are physically settled.
- Exchange-traded currency futures/options are cash settled in Indian rupees.
- Commodity derivatives may be cash or physically settled.
- T-bills have original maturity under one year; dated government securities have one year or more.

6. Other products and IFSC

Know the broad categories: government securities, REITs, InvITs, securitised debt, gold-related products, mutual-fund/pooled-vehicle units and depository receipts.

A **rights entitlement** is a separately tradable electronic entitlement; owning it does not itself mean you have applied for the underlying rights shares.

An **International Financial Services Centre (IFSC)** serves international financial business from India. GIFT City, Gandhinagar is India's first IFSC. It deals primarily in foreign currency and is regulated by **IFSCA**, not by SEBI in the ordinary domestic-market sense.

Recall: speak before you read again

1. Where do IPO proceeds go?
2. How is OTC different from dabba trading?
3. What is the difference between a call buyer and a put buyer?
4. Which product is short term: T-bill or equity share?
5. Who regulates IFSC financial products/services?

Answers: issuer; lawful bilateral negotiation versus unauthorised betting-like activity; right to buy versus right to sell; T-bill; IFSCA.

Lesson 2 - Who does what?

7. The cast of the market

There are four broad elements: **investors, issuers, intermediaries and regulators**. In MCQs, the label matters less than the job.

Participant	Core job	Memory phrase
Stock exchange	Trading platform, rules, surveillance, listing/investor functions	Matches orders
Stock broker / trading member	Executes client orders; permitted client services	Accesses exchange
Clearing corporation	Clearing, settlement, risk management and central-counterparty process	Stands in middle
Clearing member	Clears/settles obligations under its category	Carries settlement responsibility
Clearing bank	Moves funds through designated settlement accounts	Moves money
Depository	Holds securities electronically through its system	Electronic vault
Depository participant (DP)	Client-facing agent of a depository	Vault service desk
Custodian	Safekeeps institutional assets; confirms/settles assigned trades	Institutional guardian

Participant	Core job	Memory phrase
RTA	Keeps issuer/scheme-side records and services investors	Record keeper

Market Infrastructure Institutions (MIIs)

Memorise: **Exchange trades; Clearing Corporation clears/guarantees; Depository holds electronically.** All three are MIIs.

India has two depositories: **NSDL and CDSL**. A depository provides services through a DP; it does not ordinarily interface directly with clients.

8. Membership types - a high-value contrast

Category	Can trade?	What can it clear/settle?
Trading member only	Yes	Neither its own nor others' trades; must use clearing member
Trading-cum-self-clearing member	Yes	Own trades/clients only
Trading-cum-clearing member	Yes	Own trades plus other trading members/custodial participants
Professional clearing member	No	Other trading members and custodial participants
Custodian	No	Assigned institutional trades after confirmation

An **authorised person** is not an exchange member. It is an approved agent of a broker; the broker remains responsible for it.

If a custodian does not confirm an assigned institutional trade, settlement responsibility falls back on the trading member/its clearing member.

9. Investors, issuers and market makers

Investor types include retail individuals, HUFs, domestic institutions, mutual funds, insurers, banks, FPIs and corporations. An issuer raises capital. A **market maker** continuously provides two-way buy/sell quotes, a minimum quantity and reasonable bid-ask spread; it has an active liquidity role.

Overseas-capital vocabulary:

- **ADR:** US depository receipt.
- **GDR:** depository receipt generally traded in Europe.
- **FCCB:** foreign-currency bond convertible into equity.
- **ECB:** overseas commercial borrowing/loan.
- **Masala bond:** rupee-denominated bond issued overseas.

10. Regulators and rules

Body	What to associate it with
SEBI	Securities and commodity-derivatives market; protects investors, promotes development, regulates market
RBI	Banking and certain debt/money-market contracts

Body	What to associate it with
IRDAI	Insurance
PFRDA	Pensions
IFSCA	IFSC financial products, services and institutions

The four core Acts to recognise are: **SEBI Act, 1992; Securities Contracts (Regulation) Act, 1956; Depositories Act, 1996; Companies Act, 2013.**

SEBI orders can be appealed to the Securities Appellate Tribunal (SAT).

11. Conduct and misconduct

Good market conduct means integrity, fairness, diligence, confidentiality, adequate skill/care, transparent records and no misleading/manipulative behaviour.

Three terms frequently tested:

- **Insider:** a connected person or someone who possesses/has access to unpublished price sensitive information (UPSI).
- **UPSI:** non-public information likely to materially affect price, such as results, dividend, capital-structure change, merger/delisting, fundraising or material litigation.
- **Front-running:** trading ahead of a substantial impending order using non-public knowledge of it; an unfair trade practice.

AML/PMLA logic: know the customer, classify risk, retain records, recognise beneficial ownership and report suspicious transactions where required. High-risk countries/connections and politically exposed persons can need enhanced scrutiny.

Recall

1. Who matches an order?
2. Who becomes central counterparty through novation?
3. Who gives the client a demat account interface?
4. Who moves settlement funds?
5. Is a market maker just another retail investor?

Answers: exchange; clearing corporation; DP; clearing bank; no - it provides two-way liquidity quotes.

Lesson 3 - Riya becomes a client and sends an order

12. The whole trade-life cycle

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Onboard -> accept order -> pre-trade risk check -> route -> match ->
allocate/confirm -> clear -> pay-in -> pay-out -> reconcile/report.
```

Write that line from memory every day until it is automatic.

13. Onboarding: permission before trading

Before Riya trades, the broker must establish identity and address, do KYC/customer due diligence, gather needed declarations, assign a **Unique Client Code (UCC)**, complete the client-broker agreement/risk-disclosure process, collect valid bank and demat details, disclose brokerage/tariff and retain records.

Term	What it is
KYC	Process of knowing and verifying the customer
KRA	KYC Registration Agency; securities-market KYC record mechanism
CKYCR	Central KYC Records Registry; cross-financial-sector central-KYC mechanism
UCC	Client identifier for the broker/exchange trading framework
PoA	Limited authority to perform specified actions, if given
DDPI	Focused authority for permitted demat debit/pledge actions

Authorisation is not ownership. A PoA or DDPI can permit specific acts; it does not turn the broker into beneficial owner of client securities.

Current timing worth memorising: UCC must exist **before trading**. Initial KYC uploads by intermediaries/KRA and later CKYCR steps have prescribed working-day deadlines; learn the exact current sequence from the workbook's final-week rule sheet.

14. Order types and matching

Order	Client instruction	Trade-off
Market	Execute at best available price	High execution chance, low price certainty
Limit	Execute only at price or better	Price control, may not execute
Stop/trigger	Activates when trigger condition occurs	Risk-management aid, price can still gap
Day	Valid for session/day as prescribed	Expires if unfilled
Immediate-or-cancel style	Execute available quantity immediately, cancel rest	Speed over complete fill

The core continuous matching principle is **price-time priority**: better price first; at the same price, earlier order first. An **order** is an instruction. A **trade** exists only when compatible orders match/execute.

15. Institutional flow

Institutional transactions often add trade enrichment, allocation and confirmation/affirmation involving broker, institution and custodian. The purpose is to identify who will finally settle which part of an executed trade.

> *Retail flow: client -> broker -> exchange. Institutional flow: broker execution plus controlled allocation/confirmation with the institution/custodian.*

16. Front, middle and back office

Office	Main purpose	Examples
Front	Client and market interface	Sales, onboarding, client service, order intake/execution

Office	Main purpose	Examples
Middle	Risk brakes	Limits, margin/exposure monitoring, surveillance, alerts
Back	Make executed trade complete/auditable	Enrichment, allocation, settlement support, accounting, statements, reconciliation, reports

The back office does not ordinarily decide price or execute the order. It ensures the trade is recorded, settled and reported correctly.

17. The invisible plumbing

Good operational controls include business-continuity planning, disaster recovery, cyber-security, audit trails, backups, access control, handling of glitches, vendor controls, record retention and client communication.

The July 2026 workbook flags that **IRRA was discontinued in March 2026** and exchanges' **Contingency Pool Trading** replaced it. Learn the operational principle: a broker's technology failure should not leave client positions and market obligations unmanaged.

Other operational labels to recognise:

- **STT:** Securities Transaction Tax.
- **Stamp duty:** transaction levy; distinct from brokerage, exchange charge and STT.
- **SEBI turnover fee:** prescribed regulatory fee related to turnover.
- **Bulk/block deal:** separate large-trade mechanisms with their own procedures/windows.
- **SLBS:** Securities Lending and Borrowing Scheme, used for permitted borrowing/lending of securities.

Operations recall

1. What turns an order into a trade?
2. Which office watches exposures?
3. Which office does trade enrichment?
4. Is a DDPI a transfer of beneficial ownership?
5. What is the current replacement for IRRA?

Answers: matching/execution; middle office; back office; no; exchange Contingency Pool Trading.

Lesson 4 - Risk management: the market's seat belt

18. Why risk controls exist

If Riya cannot pay or a seller cannot deliver, the problem should not spread through the market. Risk management collects protection early, measures exposure continuously, limits excessive build-up and defines a default process.

Margin is a risk buffer/collateral requirement. Settlement obligation is the final amount of money or securities due for the trade. Never mix them.

19. Cash-market risk tools

Tool	Plain-English purpose
VaR margin	Covers estimated normal adverse price movement
ELM	Extra buffer for extreme adverse movement
MTM	Brings gains/losses up to date as prices move
Additional/special margin	Extra protection for particular risk situations
Exposure/concentration controls	Limits danger from one client/member/security
Haircut	Discount applied to collateral's recognised value

Example: if collateral has market value Rs. 100 and haircut is 10%, recognised value is Rs. 90. A haircut is a safety discount, not a fee.

Other critical ideas:

- **Early pay-in:** funds/securities provided before normal pay-in; can reduce risk/margin where allowed.
- **Pre-trade risk control:** the gate before an order adds exposure.
- **Risk Reduction Mode (RRM):** emergency brake; restricts activity when risk conditions are breached, generally allowing only permitted risk-reducing actions.
- **Margin shortfall:** required margin/collateral is missing; can cause penalty/risk action.

20. Derivatives risk tools

Tool	What it protects
Initial/SPAN-type margin	Potential loss under risk scenarios
Exposure/ELM-type margin	Extra buffer beyond scenario risk
MTM	Daily/current recognition of movement, especially futures
Option premium	Price paid by option buyer; not same as writer's margin
Calendar-spread margin	Prescribed treatment for qualifying offsetting expiries
Position limits	Keeps exposures from becoming too concentrated

Futures buyer and seller both have obligations. The option buyer pays premium for a right, while the option writer has a contingent obligation and needs margin protection. The workbook's February 2026 calendar-spread update reinforces that a qualifying spread is controlled risk, not no risk.

21. Client assets, reporting and compliance

The direction of regulation is clear: client funds/securities must be handled transparently, separated as required, valued correctly, reconciled and reported. Client assets are not the broker's unrestricted property.

Remember these headings:

- client collateral and haircut/valuation;
- client-level margin information;
- periodic reports and account statements;
- AML and suspicious transaction reporting to FIU-IND where required;
- voluntary freezing/blocking of trading accounts;
- enhanced supervision/qualified stock-broker responsibilities;

- current unpaid-securities / CUSPA auto-pledge process.

The exact CUSPA mechanics are current-rule detail. Learn the policy aim: protect settlement exposure without casually treating the client's beneficial interest as the broker's own asset.

22. Core Settlement Guarantee Fund

The clearing corporation's guarantee rests on a layered default-management system. The **Core SGF** is a dedicated safety-net fund; it is not an excuse to skip margins.

The conceptual default waterfall is:

1. defaulter-related resources first;
2. other resources in the prescribed clearing-corporation framework;
3. Core SGF/mutualised layers as specified;
4. recovery/default-management action.

> *The one idea to remember: the person who created the risk should absorb loss before innocent market participants.*

Risk recall

1. What is the difference between margin and settlement obligation?
2. What does a 10% haircut do to Rs. 100 collateral?
3. Pre-trade risk check versus RRM?
4. Why does an option writer need margin?
5. Why does default waterfall start with defaulter resources?

Answers: buffer versus final payment/delivery; makes recognised value Rs. 90; ordinary gate versus risk-breach restriction; writer has contingent obligation; fairness and containment of loss.

Lesson 5 - Clearing: calculate who owes what

23. Clearing versus settlement

Clearing tells you what each party owes. Settlement actually moves funds and securities.

After the exchange creates a trade, the clearing corporation validates/clears it, calculates obligations, nets eligible positions and manages risk.

24. Central counterparty and novation

Through **novation**, the original buyer-seller relationship is replaced: the clearing corporation becomes buyer to every seller and seller to every buyer under the framework. This reduces bilateral counterparty complexity and supports guaranteed settlement.

> *Exchange matches. Clearing corporation clears/novates/guarantees under the framework. Clearing bank moves cash. Depository system moves securities.*

25. Netting

If a client buys 100 shares and sells 40 shares of the same security in the same eligible settlement, the net position can be 60 shares to receive. Netting reduces gross movement, but it does not make the remaining obligation disappear.

Activity	Cash effect
Buy trades	Rs. 120,000 payable
Sale trades	Rs. 70,000 receivable
Net obligation	Rs. 50,000 payable

Always ask **whose** netting: there may be balancing among a broker's clients and separate broker/clearing-member netting with the clearing corporation.

26. Optional T+0

- **T** = trade date.
- **T+0** = settlement on trade date.
- **T+1** = settlement on next working day.

The workbook covers an optional T+0 rolling settlement cycle. Treat it as an eligible mechanism under current exchange/clearing rules, not a statement that every security always settles T+0.

Clearing recall

1. Who calculates obligations?
2. What is novation?
3. Does netting remove all risk?
4. Who moves cash?
5. What does T+0 mean?

Answers: clearing corporation; CCP replaces bilateral relationship; no; clearing bank; same trade-date settlement.

Lesson 6 - Settlement: move money and shares

27. Pay-in and pay-out

Once obligations are known, buyers provide funds and sellers provide securities into the settlement process (**pay-in**). Then entitled sellers receive money and entitled buyers receive securities (**pay-out**).

Stage	Funds side	Securities side
Pay-in	Buyer/clearing member gives funds	Seller/clearing member gives securities
Pay-out	Seller side receives funds	Buyer side receives securities

28. Funds and securities settlement

Funds settle through designated clearing-bank arrangements. Securities settle in dematerialised form through the depository clearing system. The DP is client-facing; the depository is the central electronic infrastructure.

The clearing member remains responsible to the clearing corporation under the framework; a broker cannot simply point to a client default and ignore its own settlement obligation.

29. Short delivery, auction and close-out

If securities are not delivered:

1. the system identifies the shortage;
2. it seeks securities through prescribed **auction**, where applicable;
3. if delivery cannot be procured as required, the framework uses **close-out** and specified compensation/payment calculations.

Auction tries to obtain missing shares. Close-out is the financial resolution when actual delivery cannot be completed.

30. Derivatives and corporate actions

Derivatives may involve premium, daily MTM, final settlement and, for specified contracts, physical delivery. Ask: futures or option? before or at expiry? cash-settled or physically settled under current contract rules?

Corporate-action adjustment keeps derivative economics fair when an underlying has bonus issue, stock split, consolidation, rights, dividend, merger or demerger. It is about **economic equivalence**, not a favour to either party.

The July 2026 workbook adds Closing Auction Session guidance: phased implementation, initially for F&O-stock cash segment, from 3:15 to 3:35 p.m. in four five-minute stages. Recheck the exact rule/scope shortly before the exam.

Settlement recall

1. What comes first, pay-in or pay-out?
2. What does auction solve?
3. Clearing or settlement: which moves securities?
4. Why adjust F&O terms after a split?

Answers: pay-in; shortage/non-delivery; settlement; preserve economic equivalence.

Lesson 7 - Grievances, SCORES and SMART ODR

31. The escalation ladder

```
Investor -> broker/DP compliance officer -> exchange/depository/SCORES -> SMART ODR conciliation -> online arbitration -> permitted legal challenge.
```

The investor should generally first approach the concerned market participant. A broker must disclose grievance/escalation contacts and should redress a complaint within **21 calendar days**.

Important Investor Charter facts:

- UCC: before trading.
- Order execution: same day at latest.
- Contract note: within 24 hours of trade.
- Upfront margin: before trade.
- Funds/securities/commodities statement: monthly.
- Annual global statement: within 30 days after financial year end.

32. SCORES 2.0

SCORES is SEBI's web-based complaint-redressal system: it routes, tracks and records action-taken reports (ATRs).

Step	Current workbook timing
Entity resolves/uploads ATR	21 calendar days
Investor asks first review	within 15 calendar days of ATR
Designated Body revised ATR	target 10 calendar days from review
Investor asks second review	within 15 calendar days

The workbook describes a one-year period from cause of action to lodge a SCORES complaint (subject to listed conditions), and a three-year exchange-arbitration limitation. These are high-value rote details.

SCORES is not for every disagreement: unsupported/anonymous complaints, ordinary price dissatisfaction, unregistered activity, private agreements and sub judice matters may be unsuitable/outside its process.

33. SMART ODR

ODR is online conciliation and/or online arbitration. The relevant MII first seeks amicable resolution within 21 days. A neutral conciliator is appointed within five days of referral. Conciliation runs 21 days and can be extended by consent by up to 10 days.

Claim size	Arbitration format
Up to Rs. 30 lakh	Sole neutral arbitrator
Above Rs. 30 lakh	Three-arbitrator tribunal
Rs. 1 lakh or below	Document-only arbitration unless a hearing is needed

Other current workbook facts worth a last-week revision: late conciliation initiated after six months costs the initiator Rs. 1,000; award payment by market participant is normally within 15 calendar days; challenge intent goes in the portal within seven days.

Conciliation seeks agreement. Arbitration decides. Do not reverse them.

34. Investor Protection Fund

IPF protects legitimate **non-speculative** claims against defaulted/expelled trading members under prescribed conditions and limits. It is not insurance against a share price falling or a bad investment decision.

Grievance recall

1. Where should a broker-related grievance ordinarily start?
2. How do conciliation and arbitration differ?
3. Does IPF cover every market loss?
4. What is SCORES?

Answers: broker/intermediary; agreement-seeking versus adjudication; no; SEBI's complaint-redressal system.

Lesson 8 - Other services: easy marks if you keep roles clear

35. IPO and ASBA

An IPO is a primary-market issue. **ASBA** means Application Supported by Blocked Amount: application money stays blocked in the bank account; only the allotted amount is debited, and unallotted blocked amount is released.

High-value details: all investors use ASBA for issues opening from 1 January 2016. Individual public-issue applications up to Rs. 5 lakh use UPI with ASBA through eligible channels. The workbook describes public-issue listing as T+3 from issue close.

36. Mutual funds on exchange platform

A broker needs the appropriate AMFI ARN, NISM certification and distributor registration with the relevant AMC to undertake this work. Without client registration details, it cannot place the client order.

Pool accounts are discontinued: clearing corporation receives pay-in directly from investor and sends payout directly to investor; broker/clearing member must not handle the funds. Units go directly to demat/folio account. Liquid fund securities payout is T+0; other funds T+1, subject to cut-off/funds availability.

37. PMS

Feature	PMS	Mutual fund
Portfolio	Client-specific mandate	Pooled scheme
Manager	Portfolio manager	AMC
Investment decision	Discretionary or non-discretionary	Scheme manager within mandate

A discretionary PMS makes investment decisions; a non-discretionary PMS follows client directions. Current figures: PMS minimum net worth Rs. 5 crore; normal client initial lump-sum minimum Rs. 50 lakh, subject to stated exceptions. PMS acts in fiduciary capacity, segregates client holdings, reports at least every three months and normally appoints a custodian unless it only offers advisory service.

38. Research, investment advice and DP work

A report/opinion intended to influence investment decisions, even when framed as free "value-added" content, can fall under research-analyst requirements. A broker executing an order is not automatically a registered investment adviser; understand whether the question asks about execution, research or advice.

The DP is the depository's agent: it interfaces with clients, opens demat accounts, processes dematerialisation/transfer instructions, corporate benefits, pledge/unpledge and freezing actions.

39. Margin Trading Facility (MTF)

MTF lets eligible clients fund securities purchases with their margin plus broker funding under rules. It is controlled leverage, not free money.

Rule	Current workbook fact
Who can offer	Corporate broker with net worth at least Rs. 3 crore and exchange permission
Eligible instruments	Group I securities and eligible equity ETFs
F&O stock initial margin	VaR + 3 x ELM
Other Group I stock/equity ETF margin	VaR + 5 x ELM
Liquidation	Not beyond five working days from margin call
Broker funding	Own funds/permitted borrowing, not another client's funds
Total MTF indebtedness	At most 5 x broker net worth
Max client exposure	At most 10% of maximum allowable exposure

Collateral and funded stocks must be separately identifiable and marked to market. Funded stocks are held by pledge in the special client-securities-under-margin-funding account. **IPF does not cover a client's margin-funding loss.**

40. Internet-based and wireless trading

IBT/STWT require exchange permission, security, confidentiality/encryption, backups, alternate communication, client exposure controls, audit trail, strong login/password practice, firewall and continuity planning.

Current workbook details:

- Exchange should communicate approval/rejection within seven calendar days of a complete application.
- A self-provided IBT platform requires broker net worth at least Rs. 50 lakh.
- An internet broker cannot internally cross client orders; all orders must be offered to the market for matching.
- Order-routing server must be in India; session login details should not be stored on the device.

Services recall

1. In ASBA, is money debited before allotment?
2. PMS or mutual fund: which is client-specific?
3. Does a DP own client securities?
4. What is the simple MTF risk?
5. Can an internet broker cross two client orders internally?

Answers: no, it is blocked; PMS; no; leverage/margin-call/forced-sale risk; no.

The last mile - exam behaviour and revision

41. Five contrasts to redraw every morning

Pair	Correct contrast
Primary / secondary	Issuer raises capital / investors trade existing security
Exchange / clearing corporation	Matches trades / clears, novates and manages settlement framework
Clearing / settlement	Determines obligation / moves funds and securities
Depository / DP	Central electronic system / client-facing participant
Margin / settlement obligation	Risk buffer / final payment or delivery due

42. Negative-marking strategy

For +1 and -0.25, a guess only makes mathematical sense if you have more than a 20% chance of being correct. In practice:

1. First pass: harvest certain marks quickly.
2. Second pass: solve questions where you can eliminate options using the trade story.
3. Last pass: do not randomly guess; attempt only when you can eliminate enough choices or reconstruct the answer.
4. Review marked questions, not the entire paper from zero.

You have 72 seconds per question on average. Use 70-75 minutes for sure answers, 30-35 minutes for reasoned hard questions and final minutes to review the marked set.

43. An 18-day study route

Day	Task	Output
1	Lessons 1-2	Primary/secondary, exchange/OTC cards
2	Participants/regulators	Redraw role matrix
3	Onboarding/orders	Client-to-trade flow
4	Front/middle/back office	Three-column office sheet
5	Operations revision	25 self-made questions + error log
6	Cash-market risk	Margin vs obligation explanation
7	Derivatives/SGF	Risk-tool table from memory
8	Clearing	Netting example
9	Settlement	Pay-in/pay-out and shortage flow
10	Corporate action/derivative settlement	Five-line adjustment explanation
11	Grievance/ODR	Escalation ladder
12	ASBA/PMS/MTF/IBT	Four contrast cards
13	Official workbook current-rule pages	Handwrite rule sheet
14	40-question mixed test	Categorised error log
15	Timed 100-question mock	Review all wrong/guessed
16	Timed 100-question mock	Re-test weak concepts

Day	Task	Output
17	Final mock or workbook questions	Rule/detail repair
18	Light review	Sleep and calm logistics

44. Final-week rule sheet

Copy the following current details from the official July 2026 workbook into one handwritten page:

- chapter weights and exam structure;
- margin components/rates, collateral haircuts and shortfall consequences;
- clearing/settlement timetable, auction and close-out mechanics;
- T+0 eligible-cycle rules;
- Closing Auction Session scope/timing;
- unpaid-securities/CUSPA and client-asset process;
- SCORES/SMART ODR deadlines, fees, claim thresholds and appeal routes;
- MTF, PMS and IBT/STWT numerical thresholds.

Do not use old coaching notes for those facts. The workbook has a few highlighted 2026 changes, including IRRA replacement, calendar-spread treatment, unpaid-securities procedure and Closing Auction Session guidance.

Original practice: 30 questions

Try these closed-book. They are original teaching questions, not copied NISM questions.

1. A company receives proceeds from a new public issue. This is primarily a: A. secondary trade B. primary issue C. pay-out D. depository transfer.
2. A client-facing demat-account service point is a: A. clearing bank B. DP C. clearing corporation D. exchange.
3. An OTC trade is: A. a negotiated bilateral transaction B. an IPO C. a pay-in D. dabba trading by definition.
4. An option buyer generally has: A. an exercise obligation B. a right C. a clearing-bank account D. a demat account.
5. Which entity calculates obligations and acts as CCP through novation? A. exchange B. broker C. clearing corporation D. DP.
6. A UCC must normally exist: A. after pay-out B. before trading C. after arbitration D. only at year-end.
7. A limit order mainly provides: A. guaranteed execution B. price control C. settlement guarantee D. a dividend.
8. Which office monitors exposures/surveillance? A. front B. middle C. back D. issuer.
9. Which office performs trade enrichment? A. front B. middle C. back D. depository.
10. Margin is: A. final purchase payment B. risk buffer C. dividend D. brokerage.
11. A 10% haircut on Rs. 100 collateral gives recognised value of: A. 110 B. 100 C. 90 D. 10.
12. RRM is best described as: A. normal price-time priority B. risk-breach restriction C. dividend process D. IPO process.
13. An option writer needs margin mainly because: A. it owns exchange B. it has contingent obligation C. it has no client D. premium is illegal.

14. In clearing, novation means: A. broker issues shares B. CCP replaces bilateral contract C. client cancels settlement D. DP becomes custodian.
15. Netting: A. removes all obligation B. calculates a residual net obligation C. is dividend D. only applies IPOs.
16. T+0 means: A. same trade-date settlement B. no settlement C. previous-day settlement D. all market trades cash only.
17. Pay-in occurs: A. before pay-out B. after pay-out C. after arbitration only D. only in MF.
18. Auction is used to: A. cure delivery shortage B. assign UCC C. process KYC D. calculate ASBA.
19. Conciliation is primarily: A. agreement-seeking B. a binding award C. a margin collection D. an order type.
20. SCORES is: A. broker account ledger B. SEBI complaint system C. clearing account D. option strategy.
21. IPF is not: A. a defined default-claim protection mechanism B. universal insurance against price loss C. subject to conditions D. investor protection.
22. In ASBA money is initially: A. sent to broker pool B. blocked in bank account C. paid to issuer regardless of allotment D. used as margin.
23. PMS is different from a mutual fund because PMS is normally: A. client-specific B. unregulated C. no-contract D. exchange itself.
24. A DP: A. owns all client securities B. interfaces clients with depository C. matches trades D. sets margin.
25. MTF uses: A. unrestricted other clients' funds B. controlled funding/collateral C. no margin D. no risk.
26. Which MTF initial margin is relevant to a Group I F&O stock? A. VaR + 3 x ELM B. VaR + 5 x ELM C. 3 x VaR D. premium only.
27. An internet broker may: A. internally cross client orders B. skip authentication C. offer all orders to market for matching D. store login details permanently on device.
28. A stock split adjustment to derivative terms seeks to: A. favour buyer B. preserve economic equivalence C. eliminate contracts D. change issuer.
29. The clearing bank's main role is: A. moving settlement funds B. matching orders C. KYC registry D. resolving grievances.
30. Which phrase best describes a legal OTC trade versus dabba trading? A. both illegal B. both exchanges C. bilateral lawful process versus unauthorised betting-like activity D. exactly same settlement guarantee.

Answer key

Q	Answer	Q	Answer	Q	Answer
1	B	11	C	21	B
2	B	12	B	22	B
3	A	13	B	23	A
4	B	14	B	24	B
5	C	15	B	25	B
6	B	16	A	26	A
7	B	17	A	27	C
8	B	18	A	28	B
9	C	19	A	29	A
10	B	20	B	30	C

45. A no-drama daily routine

Use the same short sequence each day. It is deliberately boring - and it works.

1. **Ten minutes:** redraw yesterday's role map or trade timeline without notes.
2. **Forty minutes:** read one focused lesson or the matching official-workbook pages.
3. **Twenty minutes:** answer recall questions or 10-15 MCQs without notes.
4. **Ten minutes:** correct your answers and write only the error type, not a long essay.
5. **Ten minutes:** say the one-sentence reason for each wrong answer aloud.

Revisit at the right intervals

When	What to revisit
Next day	Every error or uncertain answer
Three days later	Role matrix, trade cycle, margin/settlement contrast
One week later	All current-rule numbers and timelines
After each mock	Only incorrect and guessed concepts

Your daily scorecard

At the bottom of a page, record:

- **Certain answers:** I knew why.
- **Guesses that worked:** I still need to learn the reason.
- **Wrong because of a contrast:** add it to the five-contrast sheet.
- **Wrong because of a current detail:** add it to the one-page rule sheet.

Do not aim for perfect notes. Aim to make the next day easier than the last.

The final memory line

Investor gives instruction -> broker checks -> exchange matches -> clearing corporation calculates and protects -> money and shares settle -> records and remedies protect the investor.

When a question feels unfamiliar, put it on that chain, name the actor and name the risk. That habit is more reliable than trying to memorise the handbook word for word.

Source note: This original learning companion was prepared from the official NISM Series VII Securities Operations and Risk Management Workbook, July 2026 edition. It paraphrases and organises concepts for study; it does not reproduce the workbook.